Focus Keyword	Secondary Keywords	Semantic Keywords:
Digital Insurance	-Digital transformation Insurance -Delivering Digital Insurance	-What is Digital Insurance? -How to be a digital insurance company?

TITLE:

Digital Insurance: How the Insurance Industry Can Achieve Digital Transformation? (Use Case Examples)

Introduction

Out of all the companies across industries, insurance companies have shown a low-risk appetite for stability instead of being more open to change. However, the insurance industry has been functioning at the intersection of traditional and digital insurance in the last decade. And, right now, the digital transformation insurance is boosting with each passing moment.

To cater to the next generation of insureds, insurers must adopt technology that resonates with the users and makes their experience a cakewalk.

According to The State of Connected Customer report, 84% of customers say the experience a company provides is as necessary as its products or services—and yet, there is a massive divide between customer expectations and what most businesses are delivering.

Before we learn how the process of digital transformation is revolutionizing the insurance industry, let us understand the basics of digital insurance.

What is Digital Insurance?

The phrase "digital insurance" refers to a broad range of new technologies such as centralized CRM software, data analytics, blockchain, etc. These technologies have altered the way practically any insurance company does business. In other words, any insurance firm using a technology-first model falls under the category of the digital insurance provider company.

Let us further learn how technology contributes to the insurance industry's transformation.

How is digital technology transforming the insurance industry?

To keep up with the needs of insureds, insurers have had to digitize several areas of their business. In today's insurance industry, for any firm to compete in the market, it must meet the clients where and when they need a service.

There are several examples of how the insurance sector has transformed due to the delivery of digital insurance. For example, customers may connect with brokers through chat, claims can

be processed automatically, and brokers can consolidate their data to work quickly and precisely.

Digital technologies that radically transform the insurance industry are:

- Artificial intelligence
- Machine learning
- Predictive analytics
- Microservice Architecture
- Mobile service
- Live chat and other technologies.

Above-listed technologies allow insurers to access seamless services precisely and continue to do so for years to come.

Further, we shall learn the impact of these technologies in the insurance sector and how it helps offer diverse digital insurance solutions.

What Solutions do Digital Insurance Companies Provide?

For the next decade, digital insurance companies are on the journey towards the digital revolution.

Only 8% of insurance companies compare favorably on the composability index.
(This means we can look at 92% of companies adopting technology to take care of one of the business composability criteria.)

The insurance industry has been dynamic in adopting next-generation tech solutions to digitize the customer experience.

Fig: Get an image prepared like this mentioning the below 5 solutions

Today, to sustain and grow in the market, a digital insurance company must provide below mentioned digital insurance solutions to its customers:

- **Be more customer-centric:** Companies have to adopt a customer-centric approach to their business than the traditional product-centric approach. Today, customers want to be heard and understood more than the haste in getting their problems resolved.

- **Provide omnichannel experience:** An omnichannel experience helps the customer communicate at all the touchpoints with a seamless experience. Make sure that your tone and communication are consistent as an insurance provider. Without interacting with an agent in person or over the phone, you may research, compare, and buy insurance online or through an app.

- **Insurtech Ecosystem:** With the technological advancement in the insurance industry, a new term, 'Insurtech,' was coined. Insurtech refers to the innovative technologies digital insurance companies adopt to enhance their operations and cater to insureds in the best possible way. Modern, open software systems connected to the Insurtech ecosystem facilitate pricing, risk rating, and claims management.

In 2022, insurance companies are looking forward to increase revenue by 5% and expanding their IT spending by 2.7 percent.

- **Scalable Systems:** A company needs to grow its customer base to achieve growth. Before digital insurance providers, insurance companies have struggled to grow and the ones who grew faced complexities immense increases in customer acquisition. However, today with digital insurance, companies can scale and keep up with the business's growth powered by cloud technology. There is no escalation in the system even as the number of clients grows.

- **Coverage Options:** Traditional insurance companies lacked flexibility in providing coverage options to their insureds. Digital insurance allows individuals and families with less comprehensive insurance needs have more straightforward options.

Benefits of Digital Transformation in the Insurance Industry

Innovation has its positive side and negative side. However, the more positives the innovation brings that brings a revolution with each adoption. Here we will learn how innovation brought by digital transformation insurance benefits the insurance industry.

1. Seamless Customer Experience With Personalization:

To offer a personalized experience, insurers must provide consistent service across all channels. This way, the customer feels at home at each transacted touchpoint. In addition, by taking insights from each transaction or conversation, insurers can better understand the insureds.

Digital insurance facilitates meeting customers at the right time on the proper channels. If followed a consistent tone in communication, insurers may become trusted advisers by designing services around the customer experience, which will increase client loyalty and, eventually, create a seamless customer experience.

2. Centralised Operations Using Omnichannel Approach:

As discussed in the prior benefit, a centralized process is essential to increase the quality of customer interactions across the customer journey.

Traditional siloed experiences lack personalization and are inefficient in resolving customer issues. Omnichannel supports the insurers in empowering them to cater to customers who eventually benefit from enhanced experiences, personalized information, and faster claim settlement.

A centralized operation assists insurers in improving client satisfaction and loyalty. Hence, a centralized process is a go-to approach for enhancing customer operations.

3. Churn Prediction Using Data Analytics:

Even with extensive data collection, insurers have struggled to predict the market trend. Data collection is simple; however, it is cumbersome to store and analyze data to find patterns.

Today digital insurance companies can move beyond a transactional relationship with their policyholders by using data analytics to create personalized experiences and predict churn. This data further provides insights and patterns to enhance the satisfaction of the insured.

The digital insurance industry leverages AI throughout the customer journey and introduces intelligent workflows to utilize this benefit and implement it optimally.

4. Automated Claim Processing Leveraging Machine Learning:

Although machine learning is technically a subset of artificial intelligence (AI), it is a distinct component of a digital insurance business. Machine learning makes self-service applications and portals for consumers viable and turns them into significant data collecting and analysis tools for insurers.

"Machine learning" is founded on the premise that "we can construct computers to analyze data and learn on their own, without our continual supervision," according to Forbes.

Machine learning automates typically slow insurance processes, such as claims processing, by automatically employing preprogrammed data, algorithms, and data supplied by consumers to serve clients in their most vulnerable moments.

5. Fraud Detection & Prevention:

The main advantage of digital insurance apps is the massive amount of data they create. And although data helps insurers do their jobs better and customers obtain better prices, it is also used to catch illicit activities.

Carriers may utilize the Internet of Things (IoT) to collect massive amounts of real-time consumer data, improve client profiles and coverage, and detect possible fraud.

Customers' social networks data may also help for any activity relevant to a claim using customer relationship management software. In addition, predictive analytics helps to discover trends in consumer behavior that could be a red signal for fraud.

6. Faster Application Processing:

Initially, insurance companies have been inefficient at handling data. It has been challenging for insurers to implement data-related operations such as storing, retrieving, and securing. SaaS-based digital insurance companies enhance agility as insurers work faster behind the scenes and develop new products for key market opportunities in a fraction of the time.

Most digital insurers employ a SaaS-based solution that hosts, supports, and resources all-digital insurance tools and apps to maximize capabilities' potential. Start by empowering your insurers to serve the insureds in the best possible ways.

Core Areas Where Digital Transformation Can be Applied (Use Cases)

Insurance works in an extensive ecosystem needing insurance agents to sell products; Insurance companies would do well to invest in it infra of their agents or at least in APIs to ensure seamless transfer of information across disparate systems.

USE CASE 1: Applications Processing

Problem Area: Old school customer-facing system
Solution: Centralized systems

It has been challenging for insurers to extract information from high volumes of documents. Insurers have been chasing to be more price-oriented than customer-oriented.

To be customer-oriented, insurers must adopt centralized systems and optimize all interactions across channels. An integrated CRM helps strengthen the segment-wise customer relationship, resulting in repeated profits and boosting sales.

Document capture technology enables insurance companies to automatically extract relevant data from application documents and accelerate application processes with fewer errors and improved customer satisfaction.

USE CASE 2: Claims Processing

Problem Area: Cumbersome claims processing
Solution: Improve operational efficiency, from claims registration to claims settlement.

The insurance industry has been one of the toughest for customers to comprehend. It seems so complex that many insureds want agents to handle their portfolios. On the other hand, agents have fallen short of efficiently offering claims processing.

Customers have faced the cumbersome claims processing system for years, but AI has improved digital insurance operations. Insurers are starting to pick up self-service applications and help themselves across insurance portals.

AI has enhanced the traditional sluggish insurance functions – like claims processing. In addition, AI automates operations by utilizing data shared by customers. Many insurers have already started to automate their claims processes. Automating claims processes reduces the claims settlement time and enhances the customer experience.

USE CASE 3: Churn Prediction

Problem Area: Lower customer retention & acquisition issues
Solution: Implemented the NBO (Next Best Offer Model)

Acquiring a new customer can cost five times more than retaining an existing customer.

So, it would be best to focus more on reducing the churn. So, now, you will ask, "How to reduce churn?"

Well, how about having a technology that predicts the possibility of churn and provides a solution that boosts retention. It is intriguing, so let's learn various AI/ML models digital insurance offers.

> **Initial Model:** Apply Artificial Intelligence (AI) to new customers on perdition-based selling
>
> This first model is for attracting the new insureds with a 'down-sell' or 'no-change' recommendation generation using AI. AI makes these recommendations by using the insureds' personal information & FAS score. It is lucrative for the customer to adopt a less risky option or even stick to similar insurance.
>
> **Affordability Model:** Apply Artificial Intelligence (AI) based model on the payment history, Monthly Income, Disposable Income, and credit information such as FAS grouping.
>
> The second model is the affordability model, which suffers from the clustering data problem. However, AI considers more data and comes with an added option that 'upsells' depending. So, unsupervised innovative insurance technology now decides whether 'upsell,' 'down-sell,' or have 'no-change' for the insureds.

RFM Model: To compute Recency, Frequency and Monetary

This model creates the foundation for the NBO model, aka the next best model. Next, RFM forms a 'Collection' model that tracks the customer's recency and frequency of monetary transactions. Then a probable collection is made to understand the customer's spending capacity.

RFM and collection are crucial for our next model.

NBO Model (Next Best Offer Model): To offer the right product to customers according to their affordability and spending capacity before the churn.

As mentioned above, AI forms probable collections leveraging insights from the previous models. And AI formulates the best possible option for the insureds. Insureds will be offered an insurance solution that they can't deny. This model will consider all the aspects of their behavior and spending patterns with a touch of personalization.

USE CASE 4: Fraud detection & prevention

Problem Area: Digital is more prone to data infringement
Solution: Leverage AI & ML to track fraudulent patterns

The most significant benefit of digital insurance applications is the sheer volume of data they generate. And although data helps insurers do their jobs better and customers obtain better prices, it is also used to catch illicit activities.

Insurers, for example, can check consumers' social accounts for any behavior relevant to a claim using customer relationship management software. Predictive analytics helps to identify patterns in client behavior that might indicate fraud.

Frauds are unethical and are losses to the business, building an AI/ML model which can classify insurance fraud can cut losses. AI & ML will help insurance companies to identify potentially fraudulent claims faster and more accurately and flag them for investigation.

Takeaway or CTA

Investing